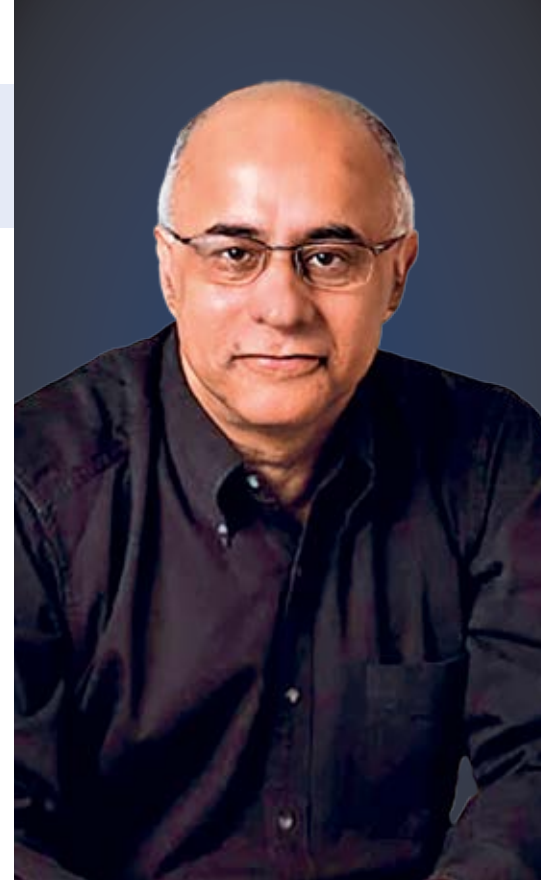
WILL THE SCHEMES WORK?

How do stakeholders view all these schemes? Sanjiv Puri, ITC chairman and president of the Confederation of Indian Industry (CII), emphasises what he calls the 4 Es—Employment, Employability, Empowerment and Entrepreneurship—as the outcomes of the package of proposals. "In the larger picture," he says, "it will speed up economic transformation by enhancing the virtuous cycle of investment, employment and consumption. It will also improve the quality of jobs and incomes." Puri also advocates building a universal digital library of skills along with forecasts of demands in the economy that will help all participants in the system align better. "Ultimately," he reasons, "it's an ecosystem that has to work together to deliver. If you look at it in isolation, it could raise more questions. But if it is done in an integrated and holistic fashion, there are pathways to good value. It would lead to better retention of employees, which means better trained workers and a better and more productive workforce."

Bagchi believes that the government has by and large got the narrative right, but he adds, "What we require is a strong ground-level push, because skill programmes are a hard thing. It is not a push button, but a long game. Industrial training rejuvenation takes three years—start now and the government will be in time to reap the benefits for the next general election!" He argues that what India needs is "nano unicorns", or skilled individuals who create five jobs in small towns, which is how millions of jobs can be created across India. "Neither Fortune 500 companies nor the government can create those kinds of numbers in terms of jobs," he says. For him, public sector units and defence forces are the best trainers in skill development. He even wants the defence ministry to set up a national skill development corporation and run it. Most importantly, he believes the number of women in the workforce must be boosted on priority. "It is a disgrace that the percentage of women in the organised sector in India has gone down from 25 per cent to 20 per cent in the past decade. We need more safe cities, safe jobs and workers' housing for women. In subsequent budgets, I would like to see more emphasis on women workers."

Naushad Forbes would like the government to focus more on the demand side of things. "We need to focus on high-quality jobs in employment-intensive sectors such as garments, footwear, food processing and tourism," he says. He cites the example of the electronics assembly arena—vendors of iPhones, for instance, which can be emulated in other sectors. Apple has reportedly assembled $14 billion (Rs 11,718 crore) worth of iPhones in India during FY24. This comprises 14 per cent of its global iPhone production, which means that one in seven of its products are now made in India. In the process, it has generated 150,000 direct jobs through supplier networks and 300,000 indirect jobs.



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SUBROTO BAGCHI
Co-founder, Mindtree

Sabharwal believes a lot more can be done. He cites the example of Germany, which has 2.7 per cent of its labour force in apprenticeships. By that standard, India should have close to 15 million interns and apprentices instead of the less than half a million that we have currently. That's the size of the challenge. "The boldness of the budget lies in risk-taking to blunt two challenges," says Sabharwal. "The first challenge of hiring freshers is addressed by reducing their cost to employers. The risk of ghost employees is covered by making these subsidies reimbursable, linking provident fund accounts and requiring a year of employment. The second challenge in skilling freshers is addressed by an internship programme that tackles the market failure in financing skill development—employers cannot manufacture their own employees." But more importantly, he adds, "this budget recognises that the only renewable energy for mass prosperity is jobs and skills for the young. That is a great start." ■